

// VOLUME_PROFILE_001

Volume Profile

Reading Market Structure as the Day Develops

How the prior day's RTH session shapes today's decisions on NQ and ES. Inflection points, profile shapes, and the framework-plus-trigger model that turns volume profile into actual execution.

// CONTENTS

- 01 // WHY VOLUME PROFILE
- 02 // WHY THE PRIOR DAY RTH SESSION
- 03 // WHEN THE OVERNIGHT PROFILE MATTERS
- 04 // THE LEVELS I MARK EVERY MORNING
- 05 // READING THE DEVELOPING SESSION
- 06 // INFLECTION POINTS – LVNs & MULTI-DAY HVNs
- 07 // PROFILE SHAPES – P AND b
- 08 // EXECUTION – FRAMEWORK + TRIGGER

// 01 — WHY VOLUME PROFILE

Most traders watch price. Price tells you *where* the market has been, but it doesn't tell you *where business actually got done*. Volume Profile flips the chart on its side and answers a different question: at every price, how much was traded? That single change reframes the entire chart. Instead of looking at candles, you're looking at where the market accepted price and where it rejected it. Areas of heavy volume become magnets and shelves; areas of thin volume become vacuums where price travels fast.

For a discretionary intraday trader in NQ and ES, this is the single most useful lens for reading market structure as the session unfolds.

// 02 — WHY THE PRIOR DAY'S RTH (NY) SESSION

The 24-hour futures session is misleading. Globex/overnight volume is real volume, but it's not the volume that *sets the structure*. For NQ and ES, the overwhelming majority of the day's contracts trade during the New York Regular Trading Hours session — 9:30 AM to 4:00 PM ET (cash equity hours). That's where the institutions, funds, and real two-sided business actually print.

That has two practical consequences:

01 The prior day's RTH profile is the map I bring into today. It shows where the previous day's *real* participants agreed price was fair (the Value Area), where they were most active (POC), and where they refused to trade (the high and low volume nodes outside the value area).

02 Overnight ranges should be read as exploration, not commitment. When price drifts away from the prior RTH value area in Globex on light volume, I treat that as a probe, not a directional move. The real test comes when New York opens and the volume shows up to either confirm the overnight move or reject it back into the prior day's value area.

So before the bell, my prep is always the same: pull up yesterday's RTH-only profile, mark the levels, and ask one question — *where is price right now relative to yesterday's auction?*

// 03 — WHEN THE OVERNIGHT PROFILE MATTERS

I generally ignore Globex because the volume is too thin to set structure. But there are two specific situations where I bring the overnight profile onto the chart and treat it as a real reference:

1. The market is at all-time highs.

When price is in uncharted territory, there is no prior structure overhead to lean on — no old shelves, no value areas from previous days at this price. Everything that exists *just got built*. In that case, the overnight profile is the only auction history I have above the prior RTH high. The Globex POC, VAH, and VAL become the working reference levels until NY opens and starts adding its own volume on top. At ATH, overnight structure *is* the structure.

2. A large overnight move with a wide range.

If Globex has moved on a wide range — news, geopolitics, an overnight catalyst — the overnight volume is no longer just noise. Real participants traded that move, and a meaningful profile got built. In that case I

treat the overnight POC and value area as live reference levels for the open. The first reaction at the overnight POC, VAH, or VAL once NY opens will often tell you whether the overnight move is going to be accepted or faded.

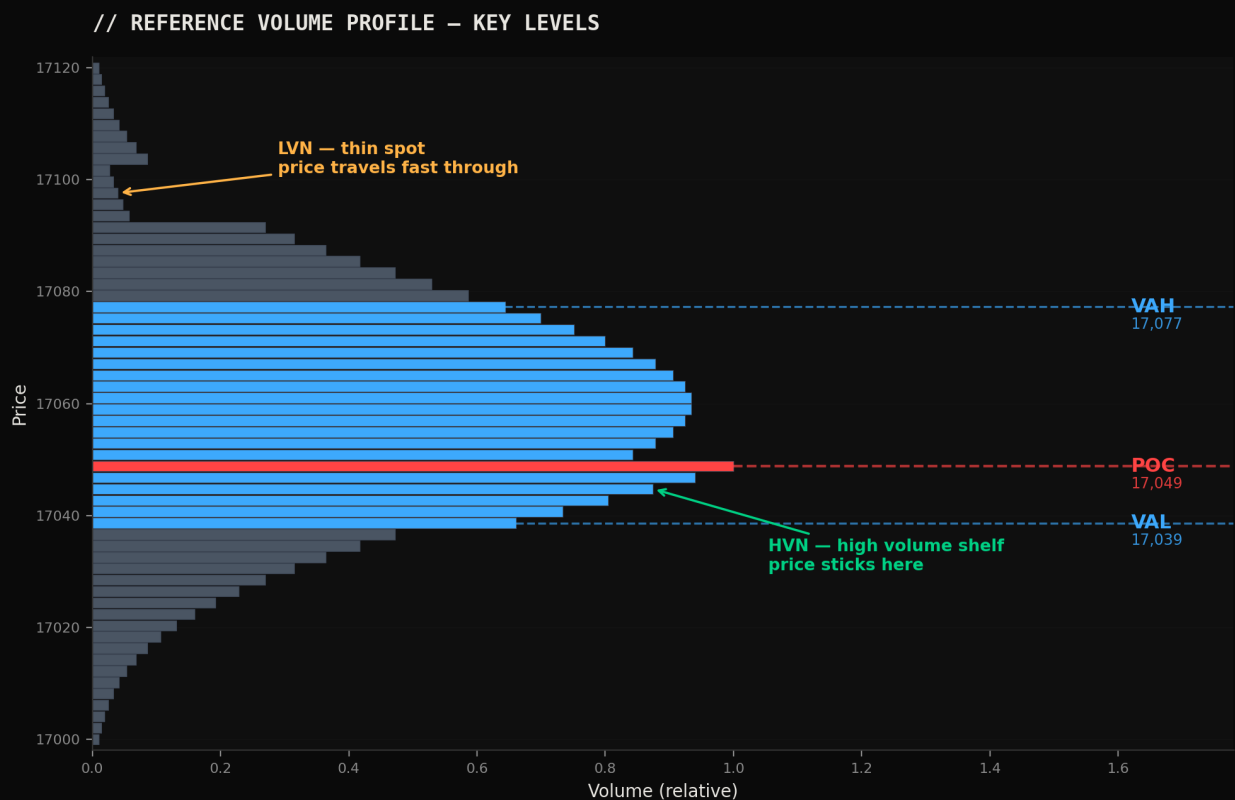
Outside of these two cases — normal overnight range, drifting Globex, no real catalyst — the prior day's RTH profile is the only reference that matters.

// 04 — THE LEVELS I MARK EVERY MORNING

From the prior RTH session:

- **POC (Point of Control)** — the single price with the most volume traded yesterday. The auction's center of gravity.
- **VAH (Value Area High)** — the upper boundary of the 70% volume range.
- **VAL (Value Area Low)** — the lower boundary of the 70% volume range.
- **High Volume Nodes (HVN)** — thick horizontal shelves inside or near the profile. Price tends to *stick* here.
- **Low Volume Nodes (LVNs)** — thin spots in the profile. Price tends to *travel through* these quickly; they're acceptance gaps.

That's it. Five reference points. Clean chart, no clutter.



FIG_01 — Reference volume profile. POC, VAH, and VAL define the auction's core. HVNs are the volume shelves price tends to stick to; LVNs are the thin spots price travels through.

// 05 — READING THE DEVELOPING SESSION

Once yesterday's levels are on the chart, the day's structure tells you what kind of session you're in. The framework is simple:

Open inside yesterday's value area → expect rotational/balance behavior. Trade is initiative only when price breaks the value area extremes with conviction. Default: fade the edges.

Open above yesterday's VAH (gap up) → two scenarios:

- If buyers defend the VAH on the first pullback, yesterday's value is left behind and today's auction is exploring higher. Long bias.
- If sellers immediately drive price back into the value area, the gap fills and you're now looking for a rotation toward yesterday's POC, possibly down to VAL.

Open below yesterday's VAL (gap down) → mirror image of the above.

The key tell each morning is the **first reaction at yesterday's VAH or VAL**. That single test usually telegraphs whether the day will be a one-timeframe trend day, a range day inside yesterday's value, or a reversal back into balance.

// 06 — INFLECTION POINTS

A volume profile inflection point is a price level where a trend has a meaningfully elevated probability of pausing, reversing, or accelerating. They exist because strong-handed participants — the ones large enough to absorb or initiate moves — tend to act in the same regions repeatedly. The volume profile makes those regions visible.

The two inflection categories I trade:

1. Low Volume Nodes (LVNs)

LVNs are the thin spots in the profile — the indented areas where very little volume traded. Price moved through them quickly the first time because there was no two-sided interest at those prices. That's exactly why they matter on a retest.

When price comes back to an LVN, one of two things happens, and both are tradeable:

- **Rejection** — price approaches the LVN and stalls. The absence of interest *is* the signal. Nobody wanted to trade there before, and nobody wants to now. Strong-handed traders use the LVN as a wall and defend it. This is the higher-probability case.
- **Slice-through** — if the LVN fails, price typically travels *fast* to the next HVN, because there's no volume in between to slow it down. The trade is to ride that vacuum to the next shelf.

The LVN itself defines both the entry and the invalidation. Enter at the edge, stop on the far side. The thinner the node, the cleaner the level.

2. HVN Forming Across Multiple Days or Weeks

A single-day HVN is useful. An HVN that has *persisted* across multiple sessions — a shelf that keeps getting reinforced day after day — is structural. These are the levels where real institutional business has been done repeatedly. They show up clearly on a composite/cumulative profile over a week or a month.

What they mean:

- **Sustained agreement.** A multi-day or multi-week HVN is the price where big participants have been comfortable transacting for an extended period. It represents fair value at a higher timeframe.
- **Strong magnet, strong defender.** Price gets pulled back to these shelves repeatedly, and they tend to hold on first test. When sitting above current price, they cap rallies; when sitting below, they catch selloffs.
- **A break is significant.** Slicing cleanly through a multi-week HVN is a real structural event, not a routine rotation. It usually signals the market is leaving that value zone and seeking a new one. A close above or below a long-standing HVN often sets up a multi-day directional move.

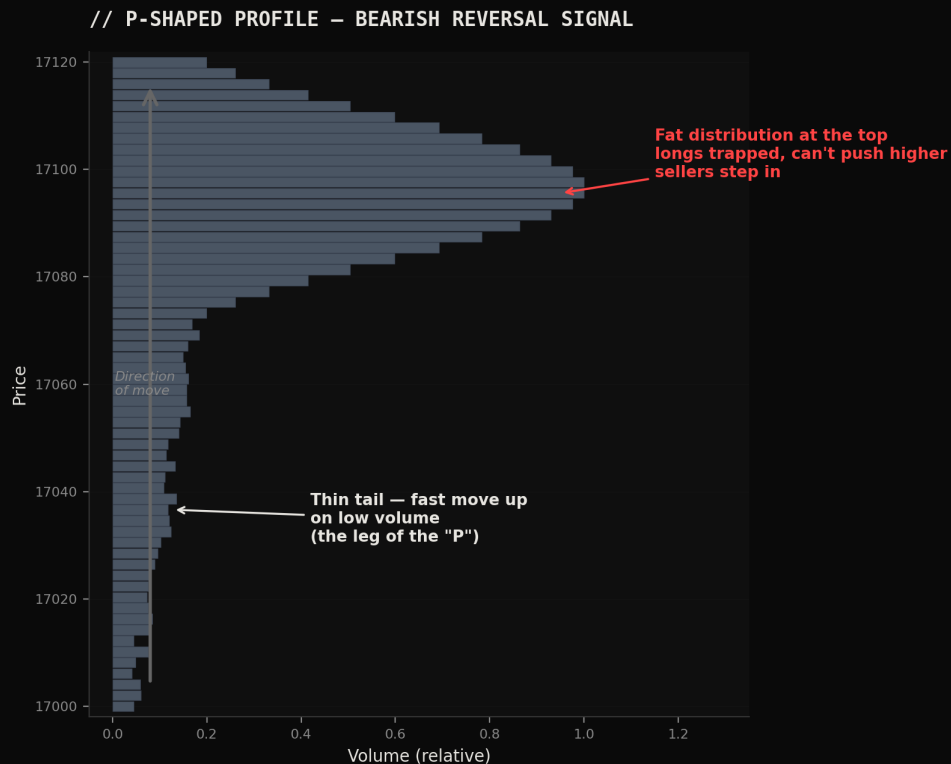
The longer the HVN has been building and the more sessions that have contributed volume to it, the more weight I give it on the chart.

// 07 — PROFILE SHAPES THAT TELEGRAPH REVERSALS

The *shape* of the developing intraday profile tells you what just happened in the auction. Two shapes signal exhaustion and reversal:

P-shaped profile

Thin, fast move higher followed by consolidation/distribution at the top. The thin tail underneath shows that very little volume traded on the way up. The fat distribution at the top is longs getting trapped — they keep bidding but price can't push higher. Sellers begin to step in.

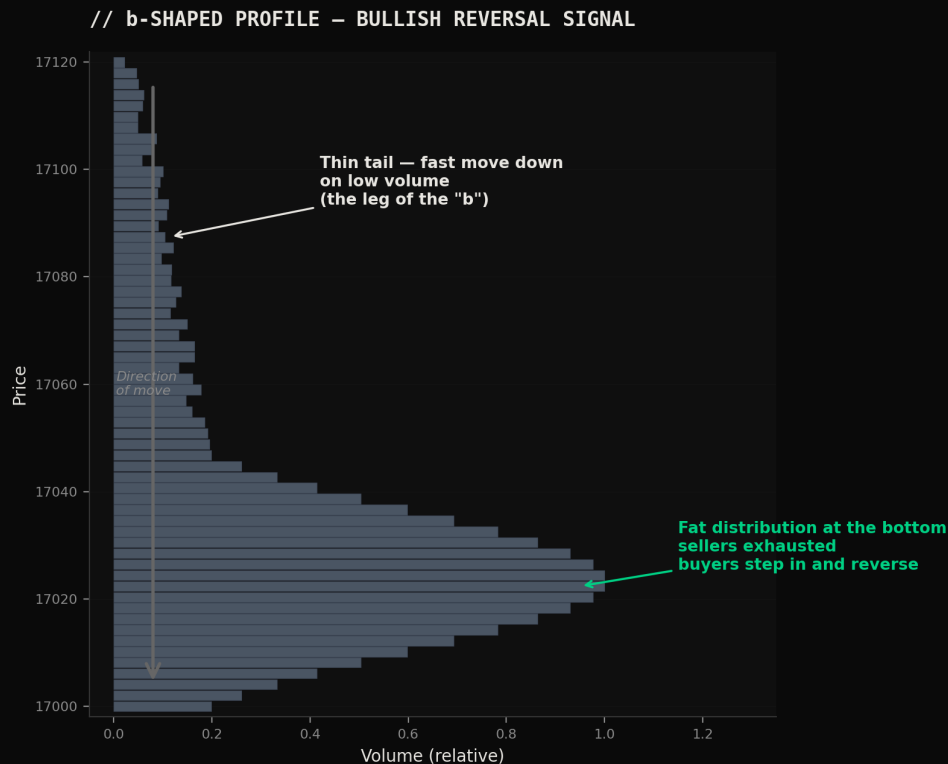


FIG_02 — P-shaped profile. Fast move up on thin volume creates the leg of the P; trapped longs build the fat distribution at the top. Most common after a short squeeze or stop run higher.

This pattern most commonly forms after a short squeeze or stop run higher. The resolution is usually back down into the prior balance.

b-shaped profile

The inverse — thin, fast move lower followed by consolidation/distribution at the lows. Sellers ran out of fuel into the bottom; buyers step in and reverse.



FIG_03 — b-shaped profile. Fast move down on thin volume creates the leg of the b; exhausted sellers and incoming buyers build the fat distribution at the bottom. Most common after a flush or capitulation move.

This pattern most commonly forms after a flush, capitulation, or stop run lower.

Two important notes on shapes

- The reversal signal is only valid if the session **closes with price in the distribution** (the fat part of the P or b). If price has already broken out of the distribution before the close, the setup is gone.
- The shape is a probability tilt, not a guarantee. Order flow and delta confirmation at the level still matter.

// 08 — EXECUTION: FRAMEWORK + TRIGGER

This is the part most people miss. Volume profile is not an entry signal. It never has been. There are two distinct jobs in execution, and they belong to two different tools.

THE FRAMEWORK — Volume Profile

Volume profile's job is to tell me **WHERE**. It maps the auction. It identifies the areas where business has been done and the areas where it hasn't. POC, VAH, VAL, **HVNs, and LVNs** — those are the only levels on my chart, and they exist for one reason: to mark the prices that matter today and to filter out the prices that don't. Volume profile gives me the playing field. It tells me where to be paying attention. It does **not** tell me when to click the button.

THE TRIGGER — Order Flow

Order flow's job is to tell me **WHEN**. Once volume profile has dropped me into the right neighborhood — price tagging a multi-day HVN, approaching an LVN, rejecting at yesterday's VAH — the question shifts. Now I'm reading the tape. Is there absorption? Is delta diverging? Are aggressive sellers getting filled into passive bids? **That** is the entry. No order flow confirmation at a profile level means no trade — even if the level is "perfect" on the chart.

Volume profile says where. Order flow says when. Neither one works without the other.

This is the mental model that has to be hard-coded. Profile alone gets you fading every level that looks important on the chart. Order flow alone gets you chasing every aggressive print without context. **Combined: profile filters the noise down to a handful of locations that matter, and order flow tells you which of those locations are actually being defended in real time.**

Pre-market routine

- 01 Mark yesterday's RTH POC, VAH, VAL, plus the visible HVNs and LVNs.
- 02 If price is at ATH, or if overnight ran a wide range on a catalyst, add the Globex POC and value area.
- 03 Identify any multi-day or multi-week HVNs sitting near current price on the composite profile.
- 04 Note where overnight has traded relative to those levels.
- 05 Decide which scenario is in play at the open: open inside value (rotation), open above VAH (acceptance higher or rejection back), open below VAL (mirror).

Intraday execution

- **Volume profile sets the where.** No setup is taken outside an inflection level — LVNs, multi-day HVNs, value area edges. No random pullbacks. No mid-range guesses.
- **Order flow triggers the when.** The level gets you ready; the tape gets you in. Absorption, delta divergence, aggressive flips at the level — those are the green lights. Without them, the level is just a line.
- **Stops** go beyond the level, sized to the structure of the zone.
- **Targets** are the *next* inflection level out — the opposing value area edge, the next HVN shelf, or the other side of an LVN vacuum.

What I avoid

- Trading in the middle of a value area where there are no levels nearby. That's chop, by definition.
- Treating overnight highs and lows with the same weight as RTH levels, *unless* one of the two overnight conditions above applies.
- Pulling the trigger on a profile level without order flow confirmation. The level is the invitation, not the trade.
- Trading against a clear P or b shape just because price looks "extended." The shape *is* the extension.

// BOTTOM_LINE

Volume profile isn't an indicator. It's a record of where the market did business and where it didn't. For NQ and ES, the prior day's RTH session is the primary reference because that's where the real volume traded — with two exceptions: at ATH, and after wide-range overnight moves, the Globex profile becomes the working map. Mark yesterday's POC, VAH, VAL, HVNs, and LVNs. Watch the open's first reaction against them. Identify the inflection points — LVN rejections and multi-day HVN shelves — where the next decision will be made. Use shape (P, b, balance) to read what just happened in the auction. **Then let order flow trigger the entry.**

Profile is the framework. Order flow is the trigger. That's the entire game.